FOOD & AGRICULTURE

A Mixed Harvest

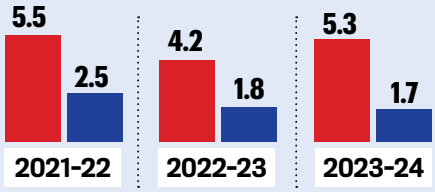
India enjoys a $3.5 billion (Rs 30,300 crore) trade surplus with the US in agriculture, with about 10 per cent of exports heading to American markets. What irked Trump were the tariff disparities—Indian duties are, on average, nearly eight times higher than what the US levied on Indian farm goods—and the non-tariff barriers along with other market distortions.

THE IMPACT

Trump's reciprocal tariff threat has unsettled global food and edible oil markets. Indian exporters, with products like mustard oil already seeing price crashes due to cheaper Canadian canola, now face a new peril. Still, India retains a comparative edge over its regional competitors in some sectors. With rivals like China, Vietnam and Thailand facing steeper tariffs, Indian farm products are relatively better placed. In rice exports, for instance, India ships about 300,000 tonnes of basmati annually to the US—a market that imports 1.3 million tonnes of rice a year. As Pakistani rice faces 29 per cent duties, Indian aromatic rice and other packaged foods that enjoy a similar edge may gain further shelf space. ■

SIZE OF TRADE

India enjoys about $3.5 billion trade surplus with the US in agri exports



India's exports to the US ($ bn)
India's imports from the US ($ bn)

Source: Ministry of Commerce & Industry, US Census Bureau; export figures for FY, import figures for marketing year (Oct.-Sept.)

TARIFF WAR

Earlier

US	India
0-11.2%	39%

Now

US	India
26%*	Unchanged

(Average tariff)
*Paused for 90 days



HOW TO COME OUT A WINNER

By **SIRAJ HUSSAIN**
Former agriculture secretary, GoI

- **India must safeguard its farm sector in bilateral trade agreement (BTA) negotiations, resisting pressure to open markets to US wheat, soybean and maize**
- **With US scrutiny on MSP policies, India must continue to assert its stance at WTO and ensure farm support systems aren't undermined by external pressures**
- **While easing imports on select items like poultry and grapes/raisins, India should limit exposure in sensitive sectors like dairy, apples and horticulture**

FISHERIES

CHOPPY WATERS

India has long been a key seafood supplier to the United States, exporting around $2.5 billion (Rs 21,500 crore) worth in 2024. Shrimps and prawns alone account for over 90 per cent of these exports, holding a dominant position in the US—over 40 per cent market share in frozen and 27 per cent in prepared/ preserved categories.

THE IMPACT

This stronghold is now under threat. The US has threatened retaliatory tariffs of 26 per cent on Indian seafood, a steep jump from the current 0-5 per cent. Why? Because

TELECOM AND ELECTRONICS

WIRED FOR TROUBLE

Global trade tensions are escalating, with major economies like the EU, China and the UK raising tariff barriers in response to the US's new protectionist stance. Amid this turmoil, the electronics and telecom trade—particularly from OEM (original equipment manufacturing) hubs in India and China—is seeing a surge in shipment volumes ahead of looming tariffs.

THE IMPACT

India's telecom and electronics sectors are bracing for a significant setback as the US threatens a 26 per cent tariff on imports, replacing the earlier average of just 0.41 per cent. Such a hike